

Are You Waiting for Another Pandemic to have a Digital Strategy?

The year 2020 was one of the biggest—if not the biggest—in terms of challenges that industries and businesses faced worldwide. Among these, the hardest hit were the manufacturing industries and all the other verticals of businesses that require people to be present on the work-floor.



The effects of the coronavirus and the events that followed its outbreak were so ruinous that the State Bank of India has projected contraction of over 40 per cent in India's GDP in the first quarter of financial year 2021. Considering the fact that India's manufacturing industry contributes 16 to 17 per cent to India's GDP, was it possible to minimise this drop in GDP without compromising the health of people and affecting the nation's progress?

A new McKinsey survey suggests there were three kinds of outcomes: A win for companies that had already embraced digital technologies, a reality check for those that were still adopting, and a wake-up call for those who had not yet started on their Industry 4.0 journey. Over 94 per cent of industry leaders who took part in a survey conducted by McKinsey regarding Industry 4.0 said that the Industrial Internet of Things (IIoT) had helped them keep their operations running during the crisis.

Sreenath C. Lakshmanan, CEO and founder of i4DigitalValue says, "It is very well known that the economies are grinding towards recession. Post pandemic, it could shrink further down. The most important thing for organisations is to take critical decisions in order to mitigate all the challenges. How we leverage technologies like Industrial Internet of Things, AI, ML, and Big Data to create new pathways for the organisations is of utmost importance now."

He adds, "Strategy, and especially digital strategy, becomes very important because we are functioning in the middle of a pandemic era now. Like there was a pre-pandemic era, there will also be a post-pandemic era. The use of technology to define the process and yield results for yourself and for your clients will only increase in the post-pandemic era. This is the right time to start putting a digital strategy in place."

What is digital strategy?

The word strategy, as defined by different dictionaries, stands for a plan that one prepares to achieve something. Business strategy, however, has different definitions available in books and on the Web. But the goal always remains the same, and that is to achieve and maintain leadership in one's vertical of business today, tomorrow, and day after.

"Most of the people contemplate digital strategy by deploying some software like AI, ML, or IoT. That's where I think most of the digital strategies fail because their provenance is not rooted in the right mindset," explains Anand Tamboli of Anand Tamboli & Company, who was keynote speaker at recent India Electronics Week and is author of a book on artificial intelligence.

He adds, "The environment is changing every single day. In order to execute your ideas and plans, you have to continuously adapt. That is where digital strategy or a plan to adapt to those changes comes into place. Digital strategy is the pivotal requirement to gain leadership and to maintain that leadership."

Many companies had to shut operations during the coronavirus-induced lockdowns and wait for the lockdowns to be lifted to start functioning again. It was a matter of survival for such companies. Paying their vendors and employees, and meet project deadlines at the same time, were some of the challenges they faced every day. Most of these companies had no digital strategy in place.